The Performance Prism: The Scorecard for Measuring and Managing Business Success

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Theme of the Book

The authors contend that the best way for organisations - for profit or not for profit - to survive and prosper in the long term will be to think about the wants and needs of all of their stakeholders and endeavour to deliver appropriate value to each of them.

> ***What is needed is for us to think about why we are measuring performance in organisations. What are we trying to achieve through our performance measurement systems? And how best to achieve it?***

Companies in particular must assume a broader role than simply delivering value to their shareholders. To be successful over time, even for and on behalf of shareholders, businesses must address multiple stakeholders. If companies do not give each of their stakeholders the right level of focus, both their corporate reputation and their market capitalisation – and ipso facto shareholder value - are likely to suffer in one way or another.

Reputation matters. It influences the attitudes and behaviours not only of existing and potential investors, customers, employees, and suppliers, but also those of regulators and the voice of local communities, pressure groups and media. Stakeholders not only have the ability to influence corporate reputation, they are its arbiters too.

The authors propose a framework called the Performance Prism which is structured to throw light on the complexity of an organisation's relationships with its multiple stakeholders within the context of its particular operating environment. It provides an innovative and holistic framework that directs management attention to what is important for long term success and viability and helps organisations to design, build, operate and refresh their performance measurement systems in a way that is relevant to the specific conditions of their operating environment.

Key Learning Points

- **Stakeholder concept**: All businesses have to manage their relationships with each of their key stakeholders while simultaneously growing shareholder value.

- **Reciprocity of stakeholder relationships**: Key message is that for every stakeholder there is a quid pro quo: *what are the organisation wants and needs from stakeholders as well as what the stakeholders wants and needs are from the organisation*.

- **Alignment of strategies, processes and capabilities**: Strategies, processes and capabilities need to be linked to each other in order to understand how they fit together towards satisfying stakeholders and organisation's wants and needs. It is critical to ensure that they are aligned and integrated with one another if the organisation is to be best positioned to deliver real value to all of its stakeholders

- **Measures**: Key message is that we need to question constantly what is measured. Keep asking these questions: Do we need it? Why do we need it? We need to evaluate constantly whether or not the measures we have are the right ones for the organisation. And if not we need to find a way to get rid of them so that we do not waste time and effort capturing data that no one is using. In short, we need to practice 'metricide' (i.e. do not let any measure persist beyond its natural and useful life!).

- **Communication**: People need clarity. They need to understand which are the key priorities in the organisation. They need consistency. Managers need to consistently reinforce the measures that matter and consistently encourage people to take action to improve performance against them. To do this, we need to think about how we incentivise people, how we encourage people to act on the data, how we can make it meaningful to them. We need to communicate how measures in different parts of the business link together to deliver stakeholder value.

What is the Performance Prism?

The Performance Prism is a thinking aid which seeks to integrate five related perspectives and provide a structure that allows executives to think through the answers to five fundamental questions:

> ***"A prism refracts light. It illustrates the hidden complexity of something as apparently simple as white light. So it is with the Performance Prism. It illustrates the true complexity of performance measurement and management.***

1. **Stakeholder Satisfaction**: Who are our stakeholders and what do they want and need?

2. **Stakeholder Contribution**: What do we want and need from our stakeholders?

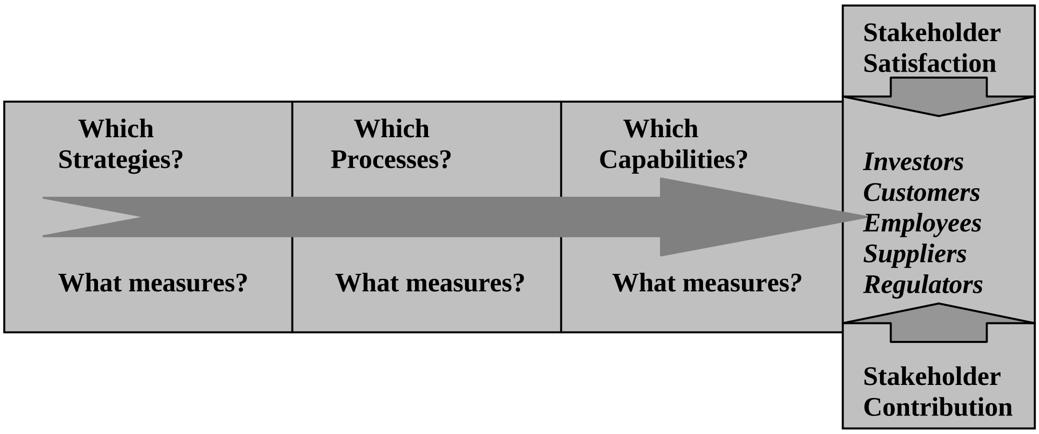
3. **Strategies:** What strategies do we need to put in place to satisfy these sets of wants and needs?

4. **Processes:** What processes do we need to put in place to satisfy these sets of wants and needs?

5. **Capabilities:** What capabilities – bundles of people, practices, technology and infrastructure – do we need to put in place to allow us to operate our processes more effectively and efficiently?

Together these five viewpoints provide a comprehensive and integrated framework for managing organisational performance and, by answering the related questions, organisations can build a structured business performance model.

What Measures?



The Performance Prism

There are five interrelated perspectives in the Performance Prism framework viz.

- ***First perspective: Stakeholder Satisfaction:***

Organisations exist to deliver 'value' to their key stakeholders. Stakeholders will include, for instance, investors, customers, employees, suppliers, regulators, pressure groups *et al*.

'Value' will be defined by and be different for different stakeholder groups e.g customers typically will want rapid and reliable delivery of high quality products and services that offer good value for money whereas employees will want such things as competitive compensation packages, training and development, and promotion prospects whilst shareholders will be more concerned with return on their investment and the profitable growth prospects of the organisation relative to its competitors.

♦ ***Second perspective: Stakeholder Contribution***

In effect, organisations and their stakeholders have to recognise that their relationships are reciprocal

It must also be remembered that for every stakeholder there is a quid pro quo: *what the organisation wants and needs from stakeholders as well as what the stakeholder wants and needs from the organisation*.

There is a dynamic and subtle tension between the two sets of wants and needs. For example, whilst customers require ease of availability, speed of delivery, competitive price and quality, the organisation would like them to be loyal and profitable. Similarly employees would like to have jobs that give them purpose, good compensation , promotion prospects and training whilst employers are looking for loyalty, flexibility, productivity, and creativity.

♦ ***Third perspective: Strategies***

Having first decided what respective stakeholders' wants and needs are, executives must then decide whether and to what extent they will prioritise their satisfaction in the strategies which the organisation develops to deliver the requisite stakeholder 'value' (whilst also ensuring that its own requirements are satisfied too). Delivery of long term stakeholder value can be viewed as the 'destination' whilst strategy can be viewed as the chosen route to achieve that destination.

♦ ***Fourth perspective: Processes***

The chosen strategy must be underpinned by processes aligned and designed to facilitate its successful achievement. Processes are what make the organisation work (or not, as the case may be). They are essentially cross-functional and represent the blueprints for what work is done where and when, and how it will be executed. Many organisations consider their highest level business processes in four separate categories: *development of products and services, generation of demand for them, fulfilment of demand* *for them* and *overall planning and management of the enterprise* with each category underpinned by a variety of sub-processes.

♦ ***Fifth perspective: Capabilities***

Processes cannot function on their own. They need people with certain skills, some policies and procedures about the way things are done, some physical infrastructure for it to happen and some technology to enable or enhance it. These are capabilities which can be defined as the combination of an organisation's practices, technology and infrastructure that collectively represents that organisation's ability to create value for its stakeholders through its process operations.

The message of the Performance Prism is that in order to survive and prosper in an increasingly complex and connected world, executives have to:

- Understand both what their various stakeholders want and need from the organisation and also what the organisation needs from them.
- Link and align their strategies, processes and capabilities to satisfying those diverse sets of wants and needs so that they can deliver value to their stakeholders.

'Success Mapping' is posited as a useful technique that helps to facilitate the alignment of strategies, processes and capabilities with the delivery of stakeholder satisfaction and contribution. The objective of a success map is to identify the critical links between the prioritised stakeholder's and the organisation's wants and needs with the strategies, processes and capabilities that must be in place in order to satisfy them. A 'Failure Mode Map' can be used which can check whether all the critical aspects of performance measurement have been properly addressed – in effect a reverse approach to success mapping by identifying particular scenarios that describe the opposite of success i.e. failure.

Managing with Measures

Performance measures are designed to help people track whether they are moving in the direction they want to. They help managers establish whether they are going to reach the destination they set out to reach. The ultimate destination is the satisfaction of stakeholders wants and needs. So the priority question is: ***what are the wants and needs of our key stakeholders?***

> ***The acid test of a good performance measurement system is therefore: "Do the measures ultimately furnish you with the data needed to answer the questions you need to answer in order to manage effectively."***

There are four fundamental processes that underpin the development and deployment of a performance measurement system viz.

Design is concerned with understanding ***what*** should be measured and defining ***how*** it should be measured (i.e. the metric). Individual measures require precise and careful design if they are to achieve the desired ends and encourage the appropriate behaviours.

Plan and Build is concerned with planning how to gain access to the required data, building the measurement system, configuring data manipulation and distribution and crucially overcoming people's political and cultural concerns about performance measurement.

Implement and Operate is concerned with actually managing the measures using the measurement data to understand what is going on in the organisation and applying that insight to drive improvements in business performance. The most difficult part of performance measurement is actually managing with the data. If you want to get real value from your measurement system someone somewhere has to act on the data that the measurement system is generating.

> ***Until and unless the data is acted upon, there is no value in measuring***.

Refresh is concerned with the measurement system itself, making sure it is refreshed and refined continuously and ensuring that measures remain relevant to the needs of the organisation. A performance measurement system is a living entity which must evolve and be nurtured over time

Finally always remember that people in organisations respond to measurement. Measures send people messages about what matters and how they should behave. When the measures are consistent with the organisation's strategies they encourage behaviours that are consistent with strategy.

Malevolently or not, employees will tend towards adopting 'gaming tactics' in order to achieve the target performance they have been set.

The Performance Prism in Action

Chapter 11 of the book provides a worked example of how the Performance Prism framework was applied in DHL which is one of the world's most successful international express courier companies.

The DHL UK executive team recognised that business performance reviews were in danger of becoming too tactical in orientation and that they were getting dragged into the minutiae of the data and in danger of losing sight of the big picture.

They began an exercise to consider how they should structure their performance reviews and what they should discuss at those review meetings. The Performance Prism framework was introduced to them as a way of thinking through this issue.

For the first time, it brought together all of the issues the business faced into a single diagram and helped the management team develop a shared understanding of the business context.

They used as their agenda the structure of the four fundamental processes that underlie the successful development and deployment of a performance measurement system viz.

- **Design Process**:

The executive team participated in a series of workshops in which they explored their shared understanding of the organisation's strategy and plans for the future and adopted the following sequential step approach viz.

Step 1:

Identification of the wants and needs of their stakeholders (and their contribution to the business).

Step 2:

Identification of the strategies, processes and capabilities that the organisation would need to have in place in order to satisfy the wants and needs of each of its stakeholders (e.g. they categorised their customers into three separate segments based on their distinctive wants and needs and specific strategies, processes and capabilities relevant to each of these customer segments were identified and developed in 'success maps' for each customer segment).

Step 3:

Once the separate success maps for each stakeholder had been developed and the links between them identified, then it was relatively easy to integrate them into a single success map for the whole business which addressed all of the questions posed in the Performance Prism framework.

Step 4:

The measures are merely a means of accessing data that allows us to answer questions. So the starting point has to be, not what should be measured, but instead what questions should we be asking?

Consideration of what questions they would like to be able to answer at their performance review meetings given the structure of the success map they had developed. Once the right questions had been identified, it became relatively straightforward to think about what should be measured.

Step 5:

Finally they focused on what measures are required, and thus what data is needed, to answer the questions which they had identified in Step 4. The end result was a set of measures that mapped onto the specific questions that the executive team had identified.

- **Plan and Build Process**:

The organisation was fortunate in that it already had in place much of the data capture infrastructure, so there was only a limited need to develop reporting capabilities. DHL did, however, invest a significant amount in education and process facilitation and with the benefit of hindsight, it became clear that this investment was fundamental to the success of the implementation programme. Essentially all the process involved was communication and constant reinforcement of the key messages underpinning the Performance Prism framework. Focus on stakeholders. Align strategies, processes and capabilities. Ensure measures are used to answer questions, not simply as an end in themselves.

A process manager was appointed to manage the performance management process. DHL also invested in the enhancement of the skills of the business's performance analysts whose role was to brief the senior team members prior to the performance review meetings on the business issues they felt needed to be raised and to prepare accompanying documentation for the senior executives. The analysts were also encouraged to share ideas and experience and thereby encourage cross-functional understanding.

- **Implement and Operate Process:**

The key change was to restructure the agenda for the business's quarterly performance reviews, so that the discussions that would take place would reflect the key questions that the executive team had decided they should be addressing.

- **Refresh Process:**

DHL have continued to evolve their measurement system and review processes throughout the period following the aforementioned exercise and will continue to do so in the future.

DHL UK understands that it is involved in a journey of discovery. The role of the Performance Prism in this journey was a vital one in that it provided a logical and coherent structure for the Board to shape their performance measurement and management system.

As the managing director of DHL UK said: 'We could have reached that same state of measurement maturity without the structure provided by the Performance Prism, but we would never have got there so fast or so completely.'

Authors

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